

Beyond the Hype: Can Tokenisation Reduce Cross-Border Financial Fragmentation?

Cross-border finance connects investors, businesses, and households to opportunities and financial services beyond their domestic markets, but fragmentation and high costs can limit these benefits. Tokenisation promises to make financial assets and payments more connected and efficient, but can it reduce the fragmentation that still separates financial markets and cross-border financial flows?



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Cross-border finance plays an important role in connecting economies through the movement of capital and funds. It allows investors to diversify beyond their domestic markets, gives issuers access to pools of capital that may not be available locally, and enables households and businesses to transfer funds across borders. By connecting financial flows between economies, international financial networks can support investment, risk-sharing, and the efficient movement of financial resources.

The scale of cross border activity is substantial. Data from the Bank of International Settlement (BIS) show that global cross-border bank claims rose to US\$46 trillion at the end of 2025¹. Remittances which represent another important dimension of cross-border financial activity and a vital source of income for many households in emerging market and developing economies also recorded an increase. Data compiled by the World Bank estimate that global remittance flows at US\$930 billion in 2025; representing a growth rate of 2.8 percent, with the flows to low- and middle-income countries (LMIC) estimated at US\$690 billion.

Yet, while financial systems are becoming increasingly digital, with electronic trading, digital ownership records, and automated payment and settlement processes now commonplace, the processes through which payments are made and financial instruments are issued, transferred, settled, and managed, particularly across borders, remain complex and fragmented. Cross-border transactions often involve multiple intermediaries, separate record-keeping systems, reconciliation between institutions, and

¹ Statistical release: BIS international banking statistics and global liquidity indicators at end-December 2025

different legal, regulatory, and market-infrastructure requirements. This often results in participants having to navigate several processes that increase the cost and complexity of moving funds, accessing investment opportunities, and raising capital internationally.

This gap between increasingly digital domestic financial systems and cross-border processes creates an opportunity to rethink how financial assets, money and the processes surrounding them are represented and connected. Advances in technologies such as distributed ledgers, automation, digital identity, and interoperable infrastructure are creating new possibilities for connecting systems that traditionally operate separately. Among these developments, tokenisation is attracting particular attention because it can represent financial assets, and forms of money on digital infrastructure, while enabling greater integration of aspects of their issuance, transfer, and management.

But can tokenisation deliver? Could it reduce the operational friction separating financial markets and payment systems across jurisdictions, making cross border finance more connected, accessible and efficient?

1. Could Tokenisation Reduce Cross-Border Frictions?

A. Financial Assets: Connecting the asset life cycle

To understand how tokenisation could address cross-border fragmentation, it helps to examine how a financial asset moves through its life cycle. A conventional financial asset passes through a series of processes, including issuance, registration, custody, transfer of ownership, servicing, reporting, and eventual redemption or maturity. These activities are generally performed by different institutions and systems, requiring information to be transferred and reconciled between them. When a transaction crosses borders, even more coordination is needed because these institutions operate under different legal, regulatory, and technical requirements.

Tokenisation offers a way to bring various stages of the asset life cycle into a more integrated digital environment. A token can represent a claim or ownership interest in an underlying asset, while the infrastructure supporting it can provide mechanisms for recording ownership and executing predefined instructions. Hence, rather than just making an asset digital, the architecture enables processes surrounding the asset to become more closely connected. In that way, ownership records could be linked more directly to the asset, transfers can be executed through predefined rules, and selected administrative processes could be automated. Moreover, information relating to ownership and transactions could be shared more efficiently among authorised participants. By reducing the need for information to move between separate systems and institutions, operational friction associated with cross-border transactions is systematically lowered. This could yield distinct benefits for market participants. For investors, lower operational barriers could make it easier to access assets issued in foreign markets and broaden the range of investment opportunities available to them. For issuers, greater digital connectivity can expand the pool of potential investors and make it easier to raise capital internationally. Ultimately, by allowing capital to move more efficiently between markets, tokenisation could contribute to deeper capital pools and improve the allocation of funds across investment opportunities.

Tokenisation could also expand access by lowering the minimum scale of investment. Financial assets can be divided into smaller digital units, through a process, commonly referred to as fractionalisation. This

could allow a wider range of participants to invest in assets that have traditionally required substantial amount of capital.

B. Cross-border payments and remittances

The same principle can extend beyond financial assets to the movement of money across borders. Cross-border payments and remittances typically involve multiple participants, payment systems, currencies, and regulatory requirements. A transfer may therefore pass through several intermediaries before reaching its recipient, creating costs, delays, and points at which information must be exchanged and reconciled.

Tokenised forms of money, including tokenised deposits and other digital settlement instruments, could allow payment and settlement processes to interact more directly with tokenized financial assets. For remittances, these developments could be particularly relevant. Migrant workers sending relatively small amounts of money across borders often face costs associated with intermediaries, currency conversion, and payment infrastructure. Reducing the number of intermediaries or improving connectivity between payment systems could lower some of these frictions and potentially improve the speed and accessibility of cross-border transfers.

2. What Could Limit Tokenisation's Cross-Border Potential?

The ability to represent and transfer financial assets or money digitally does not mean that they can move freely across borders. Tokenisation can change how asset and forms of money are represented and managed, but it cannot independently remove the legal and institutional boundaries within which financial systems operate or result in a single integrated global platform.

A. Legal Boundaries: Digital Does Not Mean Borderless

Consider a financial instrument issued in one country and represented as a digital token on a platform accessible to investors in several other countries. The technology may allow the token to be transferred rapidly, but important questions remain. Which jurisdiction's laws and regulations apply? Who legally owns the underlying asset? How are investor rights enforced? What happens if the token holder and the issuer are located in different jurisdictions? How are taxation and reporting requirements addressed? What happens if the token is transferred to an investor who is not legally eligible to hold the underlying security?

These questions illustrate an important distinction: the ability to transfer an asset digitally does not guarantee the legal right to transfer or hold it across borders. Tokenisation therefore does not circumvent the institutional architecture of cross-border finance. Instead, it underscores the need to determine how existing legal and regulatory arrangements apply when assets are represented and managed through digital infrastructure. Legal recognition of tokenised ownership, regulatory coordination, and common standards will therefore be important if tokenisation is to support genuinely cross-border markets.

B. Interoperability: Avoiding Digital Fragmentation

A second challenge is interoperability. Tokenisation is unlikely to produce a single global platform on which financial assets and forms of money are issued, transferred, and managed. Different banks,

exchanges, financial market infrastructures, technology providers, and jurisdictions may develop their own tokenised systems.

If these systems cannot communicate effectively, tokenisation could create a new form of fragmentation. Instead of reducing the number of connections involved in cross-border transactions, it could result in multiple digital platforms operating according to different technical standards, rules, and governance arrangements.

For tokenisation to mitigate fragmentation rather than reproduce it, digital assets and the systems supporting them will need to interact across platforms and jurisdictions while maintaining appropriate security, privacy, compliance, and governance arrangements. Consequently, technological capability only provides the tools to connect financial networks; sustained institutional cooperation will ultimately determine whether those connections function effectively.

3. What Could Tokenisation Realistically Transform?

The potential of tokenisation should therefore be assessed in terms of what it can realistically change within cross-border finance. Tokenisation is unlikely to eliminate financial intermediaries or make international markets and payment systems completely frictionless. Its more realistic contribution may be to reconfigure selected processes that currently involve multiple systems, intermediaries, and points of coordination.

Tokenisation could potentially:

- simplify aspects of asset issuance and administration;
- integrate ownership and transaction records more closely with the asset;
- automate selected processes associated with asset management;
- support fractional ownership;
- reduce some administrative and reconciliation processes; and
- improve connectivity between financial markets and payment systems.

The significance of these changes lies in their cumulative effect. A reduction in individual sources of operational friction may appear modest, but greater connectivity across asset life cycle processes and payment processes could become more consequential when applied across markets and jurisdictions.

4. Conclusion: Beyond the Hype

Tokenisation is frequently presented as transformative simply because financial assets can be converted into digital tokens. But the more important question is what becomes possible when assets are represented and managed through digital infrastructure.

For cross-border finance, its potential significance lies in addressing a specific problem: the persistence of operational fragmentation despite the increasing digitalisation of financial systems. By bringing aspects of issuance, ownership, transfer, and asset management closer together, tokenisation could reduce some of the processes and points of coordination that currently separate investors, issuers, financial institutions and market infrastructures across jurisdictions.

Over time, greater connectivity could broaden access to international investment opportunities, expand cross-border pools of capital, and improve some of the channels through which money moves between economies. Nevertheless, tokenisation does not make financial markets or payment systems borderless. Legal and regulatory differences remain, and interoperability between digital platforms cannot be assumed. The same technology that could reduce existing fragmentation could also create new fragmentation if tokenised markets and payment systems develop in isolated systems with incompatible standards and institutional arrangements. The real test of tokenisation will therefore not be how many financial assets can be converted into tokens, but whether tokenised markets and payment systems can meaningfully reduce the operational fragmentation that continues to separate financial systems across jurisdictions.

Beyond the hype, the promise of tokenisation lies not simply in making financial instruments digital, but in using digital infrastructure to connect the processes through which assets and money are issued, transferred, and managed in financial systems. The question is no longer simply whether financial instruments can be tokenised. It is whether tokenisation can help make cross-border finance more connected, accessible, and efficient without creating new forms of fragmentation.

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